

Transition Finance Classification System (TFCS)

February 2023



Content

- 1. Banco Santander’s sustainability approach3**
- 2. Transition Finance Classification System (TFCS)3**
 - 2.1. Introduction 3
 - 2.2. Scope..... 3
- 3. Sustainable Finance.....4**
 - 3.1. Parameters 4
 - 3.2. Decision tree 5
- 4. TFCS governance5**
- Appendix – Criteria by sector6**
 - 1. Agriculture 6
 - 2. Energy 7
 - 3. Manufacturing 12
 - 4. Real Estate 17
 - 5. Transport..... 18
 - 6. Carbon Markets 21

1. Banco Santander's sustainability approach

Banco Santander's ("Santander") purpose is to help people and businesses prosper. It is focused on promoting inclusive and sustainable growth and aiding the transition to a low-carbon economy. To support the goals of the Paris Agreement on climate change, Santander has pledged to become net zero in carbon emissions across the group by 2050; this objective applies to group-wide operations (which have been net zero since 2020) and to customers' emissions stemming from Santander's lending, advisory or investment services. Santander is also a founding member of the Net Zero Banking Alliance (NZBA), convened by the United Nations Environment Programme Finance Initiative (UNEPFI), and Net Zero Asset Managers Initiative, both in connection with the Glasgow Financial Alliance for Net Zero (GFANZ).

We set our green finance target to aid our customers' transition to a green economy. We aim to raise or facilitate EUR 120bn between 2019 and 2025, and EUR 220bn between 2019 and 2030 and to manage 100bn Socially Responsible Investment AuM. Santander is also intent on playing a major role in promoting inclusive growth that meets customers' needs and help people and businesses prosper, by promoting financial empowerment, offering access to affordable housing, financing healthcare services and assets or individuals and entities that were impacted by natural or human-made disasters and helping people get the education they need, among others.

Santander's operations and investments address many of the United Nations' Sustainable Development Goals and are considerate of social and environmental risks and rewards, helping sustain the balance between the economy and society.

2. Transition Finance Classification System (TFCS)

2.1. Introduction

The SFCS (Sustainable Finance Classification System), since its internal approval in Dec 2021 and public disclosure in Feb 2022, guides commercial teams on what constitutes sustainability at Group level (green, social and sustainable activities) and allows us to mitigate greenwashing risk.

In order to reach our objective of becoming net zero in 2050, apart from financing green activities, we need as well support our clients in their transition efforts and deliver commercial strategies that capture business opportunity beyond pure green activities.

As well, the SFCS is based mainly on the EU Taxonomy and other international standards aligned with the 1.5° degree scenario but, as a global bank, we must help all our clients' transition to a more sustainable environment, capturing activities that are not net-zero but can substantially reduce GHG emissions, contributing to a zero-carbon future and supporting the journey to the 1.5 ° degree scenario. Therefore, we decided to extend our criteria to low carbon transition circumstances and taxonomies developments as part of a new classification system, the Transition Finance Classification System (TFCS). The criteria used in the TFCS have been set in alignment with the Activity Level Transition Principles described in the following sections.

2.2. Scope

The TFCS covers (but is not limited to) the following financial products, investments and services offered by Santander:

- Lending (e.g., corporate loans, project finance, asset-based retail and consumer credit)
- Transaction banking (e.g. export finance, supply chain finance, guarantees)

- Certain Global Markets products (e.g. derivatives)
- Investment and liquidity solutions and products

It applies to all Grupo Santander's business units and geographies¹.

3. Sustainable Finance

3.1. Parameters

The following criteria have been defined for financial products and services:

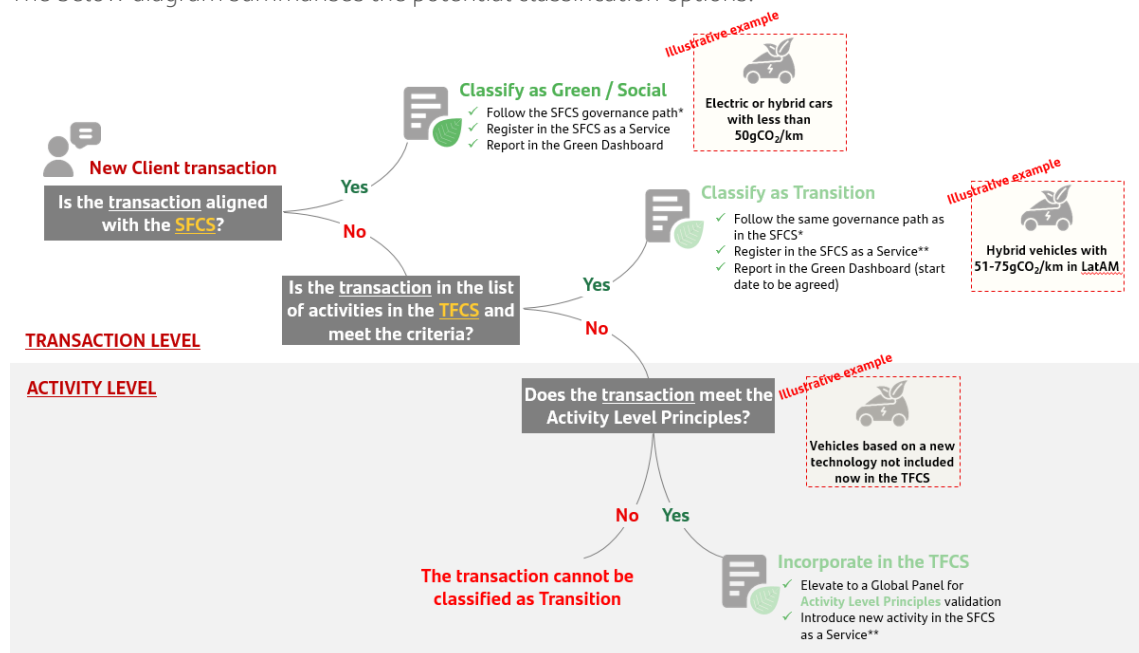
Compliance with Activity Level Transition Principles

1. All the activities included in the TFCS and considered Transition Finance are aligned with the following **Transition Principles**:
 - The activity contributes to the reduction of Greenhouse Gas Emissions
 - The activity does not hamper the development and/or deployment of lower-carbon or more energy-efficient alternatives and/or is the best available technology for the purpose of the output
 - The activity does not lead to a lock-in of carbon-intensive projects/assets across the value chain, taking into account the economic lifetime of the activity's and complying with long-term Net-Zero targets.
2. Additionally, activities that are not in the list of activities and want to be considered Transition Finance must be tested against the above Transition Principles.
3. For all the financial products, investments and services offered by Santander already checked against and considered Transition Finance, relevant checks need to be performed in terms of risk assessment, following the existing corporate developments.
 - a. When applicable and if relevant, additional checks will be performed to confirm that:
 - i. The project is not in conflict with or violation of a decarbonisation strategy or transition taxonomy on a best effort basis.
 - ii. The project must comply with performance criteria set out to align with best market practices and to ensure there is a substantial contribution towards the transition to long-term carbon targets

¹ Santander Asset Management ("SAM") currently offers sustainable and responsible investment ("SRI"). SRI is an investment approach based on an internal methodology that analyses and selects investments based on ESG criteria to enhance risk management and generate sustainable returns for investors while benefiting society. The SFCS covers green and social SAM products with a known use of proceeds and clear purpose as one or more of the green or social activities within this SFCS.

3.2. Decision tree

The below diagram summarises the potential classification options:



4. TFCS governance

The TFCS will be reviewed and updated periodically to reflect sustainability-related market developments and Santander's business activities. New versions of the TFCS would also cover new sustainable financial instruments and would not affect the classification of sustainable financial instruments already considered.

Appendix – Criteria by sector

The below section outlines sectors and business activities that aid environmental transition and, therefore, are considered transition finance if they meet the required criteria below.

1. Agriculture

1.1. Sustainable Agricultural Production

Activity description: The use of agricultural land and the production of agricultural produce that complies with the agricultural standards outlined.

Criteria: Any of the following are complied with:

- Short rotation advanced-bioenergy crop production on marginal/pastures land with complies with Greening Environmental Certification System
- Avoidance of GHG emissions in animal management and feed that reduces nitrous oxide and methane
- Avoidance of GHG emissions in storage and processing of manure and slurry, and management of grasslands
- Electrical Agricultural Equipment for crop and livestock production
- Aerial fertilisation of crops where drones are able to boost crop health and disburse resources more efficiently. The project/asset associated should come at the expense of internal combustion tractors
- Certified agricultural activities. The following certifications/certification bodies are currently eligible:
 - SAG's Certificación de Productos Orgánicos Agrícolas
 - Crop rotation practice standard
 - Advanced Biofuel Payment Program General Provisions
 - Climate Bond Standards
 - A4WS (Alliance for water stewardship)
 - AMAGGI Responsible Standard (ARS)
 - Good Manufacturing Practices (GMP + FSA)
 - RESPO Roundtable on Sustainable Palm Oil
 - 3S Cargill Program (Triple S Soy)
 - LEAF
 - Good Cultivation and Harvesting Practices for Medicinal Plants (GACP)
 - Regantes Recognition System for Irrigation
 - Pecuária Baixo Carbono (Low-carbon livestock)

1.2. Carbon Sequestration Plantations

Activity description: A natural or artificial process by which carbon dioxide is removed from the atmosphere and held in solid or liquid form.

Criteria: Must meet all the following criteria:

- No conversion of high carbon stock lands
- The intervention must enable or support the relevant low GHG best practices. This can be demonstrated by either achieving a climate-aligned % reduction in GHG emissions (tCO₂e)

over the investment period compared to the start of that period, OR provide evidence of following low- emissions agricultural best practices.

- Clear boundaries and critical interdependencies between the intervention and the agricultural production unit and wider system it operates within are identified.
- An assessment has been undertaken to identify the key physical climate hazards to which the production unit will be exposed and vulnerable over its operating life, this can include an Environmental Impact Assessment or equivalent.
- If the intervention relates to hard infrastructure, the infrastructure is suitable to climate change conditions over its operational life.
- If the intervention involves agricultural production that includes livestock in intensive production systems, standards of animal welfare must be met. Feedlot/stall-fed and in-house livestock must use feed that is sustainably sourced and from areas not recently converted from natural habitats

2. Energy

2.1. Biofuel for Transport

Activity description: The production, construction and operation of electricity generation installations that produce electricity exclusively from biomass, biogas or bioliquids. They include ethanol, used vegetable/cooking oils and biodiesel. This activity is exclusively for biofuels that were produced for and will be used in transport.

Criteria: Both (1) and (2) are complied with:

1. The feedstock can not come from third generation biofuels such as algae
2. At least one of (a) and (b)**:
 - a. Lifecycle GHG emissions intensity is below 100g CO₂ kWh
 - b. The GHG emission savings from the manufacture of biofuels and biogas for use in transport, and from the manufacture of bioliquids, are at least 65% in relation to the GHG saving compared to fossil fuels*

*Fossil fuel baselines for biofuel production facilities: (1) Biofuels (for transportation) - 94 gCO₂e/MJ; (2) Bioliquids (production of electricity) - 183 CO₂e/MJ; and (3) Bioliquids (production of heat) - 80 CO₂e/MJ as per the EU Renewable Energy Directive II. For outermost regions and non-EU countries, the following baseline is applicable for electricity generation: 212 g CO₂eq/MJ

** Renovabio as a certification to prove alignment with 2 (a) and 2 (b) in Latin America

2.2. Biofuel for non-Transport

Activity description: The production, construction and operation of electricity generation installations that produce electricity exclusively from biomass, biogas or bioliquids. They include ethanol and biodiesel. This activity is for biofuels that were explicitly not produced for and will not be used in transport, but instead all other contexts.

Criteria: Both (1) and (2) are complied with:

1. The feedstock can not come from third generation biofuels such as algae
2. Facilities must demonstrate that they operate with life cycle emissions below 100 gCO₂e/kWh, through compliance with ISO 14067 or a GHG protocol product

2.3. Carbon Capture Storage

Activity description: The process of trapping carbon dioxide produced by burning fossil fuels or other chemical or biological process and storing it in such a way that it is unable to affect the atmosphere.

Criteria: Follow the rules outlined for each the capture rate, transport and storage of carbon:

- Capture rate: The minimum capture rate from the entire facility should be **90%**
- Transport - both (1) and (2):
 1. The CO₂ transported from the installation where it is captured to the injection point does not lead to CO₂ leakages above 0.5% of the mass of CO₂ transported
 2. Appropriate leak detection systems are applied and a monitoring plan is in place, with the report verified by an independent third party.
- Storage – all of 1, 2 and 3:
 1. Characterisation and assessment of the potential storage complex and surrounding area, or exploration is carried out in order to establish whether the geological formation is suitable for use as a CO₂ storage site.
 2. For operation of underground geological CO₂ storage sites, including closure and post-closure obligations:
 - 2.1. Appropriate leakage detection systems are implemented to prevent release during operation;
 - 2.2. A monitoring plan of the injection facilities, the storage complex, and, where appropriate, the surrounding environment is in place, with the regular reports checked by the competent national authority.
 3. For the exploration and operation of storage sites, the activity complies with ISO 27914:2017/225 for geological storage of CO₂.

2.4. Cogeneration Plants

Activity description: Construction, refurbishment, and operation of combined heat/cool, power generation facilities and associated infrastructure.

Criteria: Both (1) and (2) are met:

1. The activity meets either (a) or (b):
 - a. the life-cycle GHG emissions from the co-generation of heat/cool and power from gaseous fuels are lower than 100 g CO₂e per 1 kWh of energy output of the co-generation, where lifecycle emissions are calculated on a project-specific basis using ISO 14067, ISO 14064, or Recommendation 2013/179/EU*
 - b. Facilities for which the construction permit is granted by 31 December 2030 comply with **all** of the following:•
 - The activity achieves primary energy savings of at least 10% compared with the references to separate production of heat and electricity
 - Direct GHG emissions of the activity are lower than 270 g CO₂e/kWh of the output energy
 - The power and/or heat/cool to be replaced cannot be generated from renewable energy sources

- The activity replaces an existing high-emitting combined heat/cool and power generation activity, a separate heat/cool generation activity and/or a separate power generation activity that uses solid or liquid fossil fuels
 - The newly installed production capacity does not exceed the capacity of the replaced facility
 - The facility is designed and constructed to use renewable and/or low-carbon gaseous fuels and the switch to full use of renewable and/or low-carbon gaseous fuels takes place by 31 December 2035 with a commitment and verifiable plan approved by the management body of the undertaking
 - The replacement leads to a reduction in emissions of at least 55% GHG per kWh of output energy
 - The refurbishment of the facility does not increase production capacity of the facility
2. The activity meets either of the following criteria:
- a. At construction, measurement equipment for monitoring of physical emissions, including those from methane leakage, is installed or a leak detection and repair program is introduced
 - b. At operation, physical measurement of emissions are reported and any leak is eliminated

*EU countries only

2.5. Concentrated Solar Power (CSP)

Activity description: Concentrated solar power systems generate solar power by using mirrors or lenses to concentrate a large area of sunlight into a receiver. This is then converted into electricity.

Criteria: Both (1) and (2) are complied with:

- 1. Concentrated solar power (CSP) without complying with the 85% threshold production outlined in the SFCS
- 2. The CSP does not use oil or coal to make up the additional shortfall of solar

2.6. Hydroelectric Power

Activity description: Construction or operation of electricity generation facilities that produce electricity from hydropower.

Criteria: The activity complies with either (1) or (2):

- 1. Hydroelectricity with a power density above 5W/m²
- 2. Lifecycle emissions are lower than 100gCO₂e/kWh independently of the year of construction. For new projects over 25MW, a full impact analysis is required. For new projects over 25MW, a full impact analysis is required, using ISO 14067 or ISO 14064

2.7. Hydrogen

Activity description: Blue Hydrogen produced from natural gas with a process of steam methane reforming (SMR), where natural gas is mixed with steam and a catalyst. If the carbon dioxide

emissions are then captured and stored underground, the resulting hydrogen is called “blue hydrogen.”

Criteria: Both (1) and (2) are complied with:

1. The hydrogen is to be produced through one of (a) or (b):
 - a. Steam Methane Reforming (SMR)
 - b. Auto Thermal reforming (ATR)
2. Carbon emissions are no more than 6kg CO₂eq/kgH₂ or 50g CO₂/MJ and any carbon capture that is necessary complies with the Carbon Capture and Storage criteria also outlined in this Taxonomy.

2.8. Ammonia

Activity description: Ammonia produced from Blue hydrogen from a number of variants of SMR or auto thermal reforming (ATR), to which carbon capture and utilisation or storage (CCUS) is applied. Blue ammonia techniques are only eligible until 1 January 2026.

Criteria: Either (1) or (2) are complied with:

1. Both (a) and (b):
 - a. The ammonia is produced from hydrogen and complies with the thresholds outlined in the Hydrogen activity of this taxonomy
 - b. Carbon capture and utilisation or storage (CCUS) is applied as in the CCUS activity of this taxonomy
2. Ammonia is recovered from wastewater

Blue ammonia techniques are only eligible until 1 January 2026.

2.9. Nuclear energy

Activity description: Modification of existing nuclear installations for the purposes of the extension of safe operation of nuclear installations that produce electricity or heat from nuclear energy ('nuclear power plants').

Criteria: The plant must comply with the EU Taxonomy Technical Screening criteria including the Do No Significant Harm (DNSH) criteria. *Where there are references to EU specific directives, local standards may be substituted in place, if they demand at least the same output as the EU standards.

*Only applicable to non-EU countries.

2.10. Natural Gas

Activity description: Construction or operation of electricity generation facilities that produce electricity using fossil gaseous fuels. This includes Liquefied Natural Gas (LNG). This excludes projects with an explicit direct link with new gas fields.

Criteria: The plant must comply with the EU Taxonomy Technical Screening criteria** including the Do No Significant Harm (DNSH) criteria. *Where there are references to EU specific directives, local standards may be substituted in place, if they demand at least the same output as the EU standards.

*Only applicable to non-EU countries

** Except where the EU standards allow carbon intensity up to 270gCO₂/kWh, the TFCS caps emissions at 100g CO₂/kWh.

2.11. Industrial Waste to Energy

Activity description: The production of energy through industrial waste as the primary input

Criteria: Both of the following are true:

1. The industrial solid waste, waste has been separated, removing reusable/recyclable items before conversion
2. Lifecycle GHG emissions intensity is below 100g CO₂/kWh

2.12. Certified electricity-saving technologies

Activity description: Devices, technologies or equipment that enables greater energy efficiency in its usage.

Criteria:

- A minimum EU Energy Efficiency Rating of B (EU)
 - A minimum Energy Star Rating of Most Efficient (US)
 - PROCEL rating of B (Brazil)
 - A minimum A+ Energy Label (EEE) (Argentina)
- Or
- Equivalent energy efficiency labels

2.13. Production of Heat/Cool

Activity description: Construction, refurbishment and operation of heat generation facilities that produce heat/cool using fossil gaseous fuels connected to efficient district heating and cooling.

Criteria: Both (1) and (2) are complied with:

1. Life-cycle GHG emissions from the generation of heat/cool from gaseous fuels are lower than 100g CO₂e/kWh. Life-cycle GHG emission savings are calculated using ISO 14067:2018 or ISO 14064-1:2018 and quantified life-cycle GHG emissions are verified by an independent third party
2. Either (a) or (b) is true:
 - a. At construction, measurement equipment for monitoring of physical emissions, such as those from methane leakage, is installed or a leak detection and repair program is introduced

- b. At operation, physical measurement of emissions are reported and any leak is eliminated

3. Manufacturing

3.1. Manufacturing of Low Carbon Aluminium

Activity description: Manufacture of aluminium through primary alumina (bauxite) process or secondary aluminium recycling and the construction, installation, expansion, repair/renovation/retrofit/improvement, production, purchase, operation, transport or maintenance of aluminium plants which lead to the compliance with the criteria

Criteria: The activity manufactures one of the following:

1. Primary aluminium where the economic activity complies with two of the following criteria a), b) or c) until 2025, and with all of the following criteria after 2025:
 - a. The GHG emissions do not exceed 1,484 tCO₂e per ton of aluminium manufactured:
 - b. The average carbon intensity for the indirect GHG emissions does not exceed 100g CO₂e/kWh;
 - c. The electricity consumption for the manufacturing process does not exceed 15.5 MWh/t Al.

Or

2. Is secondary aluminium

3.2. Manufacturing of Low Carbon Carbon Black

Activity description: Manufacture of Low Carbon Carbon Black and the construction, installation, expansion, repair/renovation/retrofit/improvement, production, purchase, operation, transport or maintenance of plants which lead to the compliance with the criteria.

Criteria: GHG emissions from the carbon black production processes are lower than 1,141 tCO₂e per tonne of product.

3.3. Manufacturing of Low Carbon Cement

Activity description: Manufacture of cement clinker, cement or alternative binder and the construction, installation, expansion, repair/renovation/retrofit/improvement, production, purchase, operation, transport or maintenance of plants which lead to the compliance with the criteria.

Criteria: The activity manufactures one of the following:

1. Grey cement clinker where the specific GHG emissions are lower than 0,722 tCO₂e per tonne of grey cement clinker
2. Cement from grey clinker or alternative hydraulic binder, where the specific GHG emissions from the clinker and cement or alternative binder production are lower than 0,469 tCO₂e per tonne of cement or alternative binder manufactured

Where CO₂ that would otherwise be emitted from the manufacturing process is captured for the purpose of underground storage, the CO₂ is transported and stored underground.

3.4. Manufacturing of Low Carbon Chlorine

Activity description: Manufacture of Low Carbon Chlorine and the construction, installation, expansion, repair/renovation/retrofit/improvement, production, purchase, operation, transport or maintenance of plants which lead to the compliance with the criteria.

Criteria: The activity complies with one of the following:

1. Electricity consumption for electrolysis and chlorine treatment is equal or lower than 2.45 MWh per tonne of chlorine
2. Average life-cycle GHG emissions of the electricity used for chlorine production is at or lower than 100 g CO₂e/kWh. The life cycle GHG emissions are calculated using ISO 14067, ISO 14064 or using Recommendation 2013/179/EU in the EU

3.5. Manufacturing of Low Carbon Iron and Steel

Activity description: Manufacture of Low Carbon Iron and Steel and the construction, installation, expansion, repair/renovation/retrofit/improvement, production, purchase, operation, transport or maintenance of plants which lead to the compliance with the criteria.

Criteria: Either (1) or (2) are met:

1. Iron and steel where GHG emissions, reduced by the amount of emissions assigned to the production of waste gases and do not exceed the following values applied to the different manufacturing process steps:
 - Hot metal = 1,070 tCO₂e/t product
 - Sintered ore = 0,163 tCO₂e/t product
 - Coke (excluding lignite coke) = 0,144 tCO₂e/t product
 - Iron casting = 0,299 tCO₂e/t product
 - Electric Arc Furnace (EAF) high alloy steel = 0,266 tCO₂e/t product
 - Electric Arc Furnace (EAF) carbon steel = 0,209 tCO₂e/t product
2. Steel in electric arc furnaces producing EAF carbon steel or EAF high alloy steel and where the steel scrap input relative to product output is not lower than:
 - 70 % for the production of high alloy steel
 - 90% for the production of carbon steel

Where the CO₂ that would otherwise be emitted from the manufacturing process is captured for the purpose of underground storage, the CO₂ is transported and stored underground.

3.6. Manufacturing of Low Carbon Nitric Acid

Activity description: Manufacture of Low Carbon Nitric Acid and the construction, installation, expansion, repair/renovation/retrofit/ improvement, production, purchase, operation, transport or maintenance of plants which lead to the compliance with the criteria.

Criteria: GHG emissions from the manufacture of nitric acid are lower than 0,038 tCO₂e per tonne of nitric acid.

3.7. Manufacturing of High Value Chemicals (HVC)

Activity description: The manufacture of:

- Acetylene
- Ethylene
- Propylene
- Butadiene

And the construction, installation, expansion, repair/renovation/retrofit/improvement, production, purchase, operation, transport or maintenance of plants which lead to the compliance with the criteria.

Criteria: GHG emissions from the production processes are lower than 0.693tCO₂e/t.

Where the life-cycle GHG emissions of the manufactured chemical, manufactured wholly or partially from renewable feedstock, are lower than the life-cycle GHG emissions of the equivalent chemical manufactured from fossil fuel feedstock.

3.8. Manufacturing of Aromatics

Activity description: The manufacture of:

- mixed alkylbenzenes, mixed alkylnaphthalenes other than HS 2707 or 2902;
- cyclohexane;
- benzene;
- toluene;
- o-Xylene;
- p-Xylene;
- m-Xylene and mixed xylene isomers;
- ethylbenzene;
- cumene;
- biphenyl, terphenyls, vinyltoluenes, other cyclic hydrocarbons excluding cyclanes, cyclenes, cycloterpenes, benzene, toluene, xylenes, styrene, ethylbenzene, cumene, naphthalene, anthracene;
- benzol (benzene), toluol (toluene) and xylol (xylenes);
- naphthalene and other aromatic hydrocarbon mixtures (excluding benzole, toluole, xylol)

And the construction, installation, expansion, repair/renovation/retrofit/improvement, production, purchase, operation, transport or maintenance of plants which lead to the compliance with the criteria

Criteria: GHG emissions from the production processes are lower than 0,0072 tCO₂e/t of complex weighted throughput.

3.9. Manufacturing of Vinyl Chloride

Activity description: The manufacture of Vinyl Chloride and the construction, installation, expansion, repair/renovation/retrofit/improvement, production, purchase, operation, transport or maintenance of plants which lead to the compliance with the criteria.

Criteria: GHG emissions from the production processes are lower than 0,171 tCO₂e/t of vinyl chloride.

3.10. Manufacturing of Styrene

Activity description: The manufacture of Styrene and the construction, installation, expansion, repair/renovation/retrofit/improvement, production, purchase, operation, transport or maintenance of plants which lead to the compliance with the criteria.

Criteria: GHG emissions from the production processes are lower than 0,419 tCO₂e/t of styrene.

3.11. Manufacturing of Ethylene

Activity description: The manufacture of Ethylene and the construction, installation, expansion, repair/renovation/retrofit/improvement, production, purchase, operation, transport or maintenance of plants which lead to the compliance with the criteria.

Criteria: GHG emissions from the production processes are lower than 0,314 tCO₂e/t of ethylene oxide/glycol.

3.12. Manufacturing of Adipic Acid

Activity description: The manufacture of Adipic Acid and the construction, installation, expansion, repair/renovation/retrofit/improvement, production, purchase, operation, transport or maintenance of plants which lead to the compliance with the criteria.

Criteria: GHG emissions from the production processes are lower than 0,32 tCO₂e /t of adipic acid.

3.13. Manufacturing of Plastics and Bioplastics

Activity description: Manufacture resins, plastics materials and non-vulcanisable thermoplastic elastomers, the mixing and blending of resins on a custom basis, as well as the manufacture of non-customised synthetic resins but does not include agricultural biomass.

Additionally, bioplastics made from cassava, sugar cane and other renewable materials are being considered to replace petrochemical raw materials are included in this activity.

This includes the construction, installation, expansion, repair/renovation/retrofit/improvement, production, purchase, operation, transport or maintenance of plants which lead to compliance with the criteria.

Criteria: The activity complies with one of the following criteria:

- The plastic in primary form is fully manufactured by mechanical recycling of plastic waste;
- Where mechanical recycling is not technically feasible or economically viable, the plastic in primary form is fully manufactured by chemical recycling of plastic waste and the life-cycle GHG emissions of the manufactured plastic, excluding any calculated credits from the production of fuels, are lower than the life-cycle GHG emissions of the equivalent plastic in primary form manufactured from fossil fuel feedstock. Quantified life-cycle GHG emissions are verified by an independent third party
- Derived wholly or partially from renewable feedstock and its life-cycle GHG emissions are lower than the life-cycle GHG emissions of the equivalent plastics in primary form manufactured from fossil fuel feedstock. Life-cycle GHG emissions are calculated using Quantified life-cycle GHG emissions such as ISO 14067 or ISO 14064, which are verified by an independent third party
- Bioplastics made from cassava, sugar cane or other renewable inputs

3.14. Manufacturing of Low Carbon Soda ash

Activity description: Manufacture of disodium carbonate (soda ash, sodium carbonate, carbonic acid disodium salt) construction, installation, expansion, repair/renovation/retrofit/ improvement, production, purchase, operation, transport or maintenance which lead to the compliance with the criteria.

Criteria: GHG emissions from the soda ash production processes are lower than 0,789 tCO₂e per tonne of product.

3.15. Manufacturing of clean Naphtha

Activity description: The manufacture of bio naphtha through the conversion process of a non-recyclable plastic waste into clean naphtha.

Criteria: Clean Naphtha is to be certified by the International Sustainability and Carbon Certification (ISCC Plus) or equivalent.

3.16. Product Life Extension

Activity description: Often referring to the circular economy environmental objective. This includes activities to develop or re-develop products to last longer.

Criteria: Both (1) and (2) are met:

1. The products whose life is being extended are will not be users of fossil fuels (e.g. no cars, planes)

2. The extension of their life and process involved in undertaking this produces less CO2 than the manufacture of a brand new equivalent

4. Real Estate

4.1. Acquisition, Construction, Renovation, Development of existing buildings

Activity description: Buying real estate and exercising ownership of that real estate, construction and civil engineering works or preparation thereof or any development of building projects for residential and non-residential buildings by bringing together financial, technical and physical means to realise the building projects for later sale as well as the construction of complete residential or non-residential buildings, on own account for sale or on a fee or contract basis. Buildings made with ecobricks or those built by Wood/cork are also eligible under this definition.

Criteria: The following certifications enable TFCS qualification if they are relevant for the project/asset, as a minimum:

- LEED Silver (Global)
- BREAM Good (Global)
- EPC rating of C (Global)
- PBE Edificia, ENCE rating of B (Brazil)
- Energy Star for Buildings 75 or higher (US)
- Living Building Challenge (US)
- CCCS CASA Colombia v2.1 (Colombia)
- Green Building Initiative (US) Level 3 or above
- Adene Certificação de eficiência energética e qualidade do ar (SCE) / Adene Certification of energy efficiency and air quality
- Eco hotel Certificado Eco Hotel da TUV Reihland/ Eco hotel Certified from TUV Reihland
- TUV-Eco-Hospital Certificado Eco Hospital da TUV Reihland/TUV-Eco-Hospital Certified from TUV Reihland
- Rec Rótulo ecológico comunitário/Rec Community eco-label
- ICNF logo for nature tourism
- Sustainable Housing Certification (CVS)
- Programa de Certificación de Edificaciones Sustentables (PCES) / Certification Program for Sustainable Buildings
- Mexican Norm for Sustainable Buildings (NMX-AA-164-SCF1-2013)
- MAS LSQA certification (Uruguay)

Or Equivalent Energy Efficiency Ratings. The benchmark for equivalents is the consequential energy ratings broadly align with the notion of being in the top 30% of energy efficiency for real estate in the region/country.

4.2. Instruments to enhance buildings' energy efficiency

Activity description: Devices and technologies which make properties or technologies more energy efficient.

Criteria: Installation, maintenance and repair of smart meters for gas usage tracking.

4.3. Low-Emitting Materials associated with Real Estate

Activity description: Materials and chemicals associated with real estate which include VOCs such as roof coating or carpet adhesive.

Criteria: VOC emissions evaluation. See the list of certification programs that use CDPH Standard method.

- The following programs certify VOC content to CARB SCM, SCAQMD Rule 1113 and/or SCAQMD Rule 1168:
 - Certified Green by MAS
 - Green Seal GS-11 Edition 4.0
 - Indoor Advantage Gold – Building Materials by SCS
- Furniture emissions evaluation: The following certifications and programs use ANSI/BIFMA e3 and are accredited under ISO/IEC 17065:
 - Clean Air Gold by Intertek
 - GREENGUARD Gold by UL
 - Indoor Advantage Gold- Furniture by SCS
 - Level by BIFMA
 - Certified Green by MAS
 - VOC Green by Benchmark International

5. Transport

5.1. Shared Road Transportation

Activity description: Purchase, manufacturing, maintenance, financing, leasing, rental and operation of buses and coaches for the purpose of transporting multiple individuals.

Criteria: Direct emissions are less than 50g CO₂e/pkm (per passenger per kilometre).

5.2. Rail Freight

Activity description: Purchase, financing, leasing, rental and operation of freight transport on mainline rail networks as well as short line freight railroads.

Criteria: The activity moves from the SFCS to TFCS in 2025 and as such the following criteria applies from 2026. Both (1) and (2) are met:

1. At least one of (a) or (b) are met:
 - a. The trains and wagons have zero direct tailpipe CO₂ emission when operated on a track with necessary infrastructure, and use a conventional engine where such infrastructure is not available (bi-mode)
 - b. To be introduced in 2026: Transport meets universal gCO₂/t-km (tonne-kilometre) threshold: from 2026-2029, this is 25g. From 2030-2049, this 21g. From 2050, this is 18g
2. Fossil fuel freight must not be more than 25% of the freight transported (in tonne/km) in any case.

5.3. Road Freight

Activity description: Purchase, financing, leasing, rental and operation of freight transport on road networks. This includes lorries, vans and other vehicles designed to transport goods on scale.

Criteria: Both (1) and (2) are met:

1. Transport meets universal gCO₂/t-km (tonne-kilometre) threshold. From 2026-2029, this is 25g. From 2030-2049, this 21g. From 2050, this is 18g
2. Fossil fuel freight must not be more than 25% of the freight transported (in tonne/km)

5.4. Passenger Road Transport

Activity description: Purchase, financing, renting, leasing and operation of vehicles including cars, passenger cars, light commercial vehicles, motorbikes, quadricycles and scooters.

Criteria: Where the relevant emissions factors below are complied with:

- A carbon intensity factor of 75g CO₂/km or less (Latin America and the US)
- A carbon intensity factor of 50g CO₂/km or less (Europe* and Colombia)

*Moving from the SFCS to the TFCS in 2026.

5.5. Biofuels as a fuel in Road Transport

Activity description: The use of or purchase for use of biofuels and biomass in passenger vehicles either independently or with an electric/hybrid engine. This includes the equipment associated with the use of biofuel in transport.

Criteria: Where the relevant emissions factors below are complied with:

- A carbon intensity factor of 75g CO₂/km or less (Latin America and the US)
- A carbon intensity factor of 50g CO₂/km or less (Europe* and Colombia)

*Moving from the SFCS to the TFCS in 2026.

5.6. Passenger Rail

Activity description: Purchase, financing, rental, leasing and operation of passenger transport using railway rolling stock on mainline networks, spread over an extensive geographic area, passenger transport by interurban railways and operation of sleeping cars or dining cars as an integrated operation of railway companies.

Criteria: To be introduced in 2026: The trains and passenger coaches have zero direct (tailpipe) CO₂ emission when operated on a track with necessary infrastructure and use a conventional engine where such infrastructure is not available (bimode).

5.7. Passenger Water Transport

Activity description: Purchase, financing, leasing, rental, manufacturing, and operation of passenger vessels on inland waters, involving vessels that are not suitable for sea transport.

Criteria: Eligible if any one of the following are true:

1. Only until 31 December 2025: Hybrid and dual fuel vessels derive at least 50% of their energy from zero direct (tailpipe) CO₂ emission fuels or plug-in power for their normal operation
2. Their direct emissions per tonne-km are 50% lower than the average benchmark for HDVs (Heavy Duty CO₂ Regulation)
3. They are 10% more efficient than a global standard (Efficiency Design Index (EEDI)).
4. They operate below <75g CO₂/p-km (passenger-kilometre)

5.8. Water Transport Infrastructure

Activity description: Construction, modernisation, operation, and maintenance of infrastructure that is required for low carbon operation of vessels or the port's own operations, as well as infrastructure dedicated to transshipment.

Criteria: The activity complies with both (1) and (2):

1. The activity complies with one or more of the following criteria (a)-(d):
 - a. The infrastructure is dedicated to the operation of vessels with zero direct (tailpipe) CO₂ emissions: electricity charging, hydrogen-based refuelling
 - b. The infrastructure is dedicated to the provision of shore-side electrical power to vessels at berth
 - c. The infrastructure is dedicated to the performance of the port's own operations with zero direct (tailpipe) CO₂ emissions
 - d. The infrastructure and installations are dedicated to transshipping freight between the modes: terminal infrastructure and superstructures for loading, unloading and transshipment of goods
2. The infrastructure is not dedicated to the transport or storage of fossil fuels

5.9. Air Transport

Activity description: Construction, modernisation, operation, and maintenance of infrastructure for air travel as well as the production of aircraft.

Criteria: Manufacture, maintenance, extension, repair/purchase or reconditioning/retrofit/upgrades, or operation of aviation equipment – where, both (1) and (2) are met:

1. Hybrid planes for freight transport or small distances
2. The primary purpose (more than 25% share) should not be the transportation of fossil fuel freight

6. Carbon Markets

Activity description: Carbon markets that operate either on a National or International basis – they refer to the issuance, buying and selling of carbon credits, on a voluntary basis.

Criteria: Eligibility standards:

- Financing for compliance with national and international emissions trading systems.
- Financing, trading and enabling carbon credit purchases with high offset quality for projects eligible under the SFCS, and that follow standards, such as ICROA13 and have obtained at least one of these certifications:
 - a. Verified Carbon Standard (VCS)
 - b. Gold Standard for Global Goals
 - c. American Carbon Registry Standard
 - d. Climate Action Reserve Standard
 - e. Plan Vivo
 - f. Woodland Carbon Code (WCC) for UK-based afforestation projects
 - g. National crediting schemes that are overseen by a national body (such as the Spanish Climate Change Office) and considered as robust as the standards listed above

The activity will only be eligible if the customer has emissions reduction plans, alignment strategies and/or net-zero targets in place.